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Judicial enforcement deputies: Causes and effects of Chinese judges enforcing environmental administrative decisions

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Abstract

This paper explores how and why Chinese courts became involved in regulating pollution by aiding administrative agencies in executing sanction decisions and collecting pollution levies. It also studies the effects of their regulatory involvement, both in terms of deterrence inferred from available information, as well as the compliance behavior of regulated actors defined as payment of regulatory penalties. It finds that judicial involvement in regulatory enforcement proved to be short-lived and depended on a particular context at a particular period of time when a regulatory need coincided with administrative and financial judicial needs and particular judges. The paper also finds that court involvement enhanced deterrence in terms of certainty of punishment and to some extent the severity of punishment; however that deterrent effect was undermined by the close relationship between the courts and the regulated entities as fines and levies were almost always negotiated. In effect, deterrence increased the number of compliers paying levies without increasing the depth of compliance in terms of their full payment.

Keywords: administrative litigation law, compliance, courts, deterrence, enforcement, regulation.

1. Introduction

In recent years, research on the bilateral regulatory process that merely involves the regulators *versus* the regulated has grown into interest in research on regulations comprising a more multifaceted regulatory landscape involving multiple actors (Grabosky 1995; Gunningham *et al.* 1998; Black 2001; Black 2002; Gunningham & Sinclair 2002; Black 2003; Gunningham *et al.* 2003; Grabosky 2013). This new approach, known as "decentered" regulation, has largely focused on new market and social actors. Examples are Grabosky's (2013) study on the use of technology to enhance the regulatory function of non-state actors; the study by Cherney *et al.* (2006) on how dense networks and institutions assisted police efforts to reduce the supply of illicit synthetic drugs; and Van Rooij's (2012) work examining the role of Chinese citizens in risk regulations. However, little attention has been paid to courts acting as regulatory authorities (a notable exception is Thiruvengadam & Joshi 2012).[1]

In the context of Chinese environmental regulation, existing studies have predominantly focused on the conventional state regulators, that is, environmental agencies (Jahiel 1994, 1997; Chan *et al.* 1995; Sinkule & Ortolano 1995; Wong & Chan 1996; Ma & Ortolano 2000; Zhang 2001; Lo & Fryxell 2003, 2005; Tang *et al.* 2003; Van Rooij 2003; Warwick 2003; Lo *et al.* 2006; Tilt 2007). Some recent studies have examined civil society including ordinary Chinese citizens (Brettell 2003; Warwick 2003; Wang *et al.* 2004; Tilt 2007; Zhang 2010; Van Rooij 2012), but very few studies have examined the role of courts in environmental regulation. The only study I am aware of is the paper by Zhang *et al.* (2010) that analyzes the legal processes and outcomes of court enforcement cases filed by environmental agencies under the Administrative Litigation Law (ALL) promulgated in 1989 and the effects of that court enforcement on agencies.

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The ALL was issued to protect citizens and enterprises from abuses by administrative agencies (litigation cases) and to assist administrative organs in achieving compliance with their directives (execution cases) (Wang 1991). Article 66 stipulates that administrative regulators can file court cases if the regulated parties fail to comply with administrative orders and that citizens can initiate legal action against regulators. The legislative history and the wording of the ALL suggest that protecting citizens' interests via litigation cases is the primary objective; assisting bureaucracies in exercising their authority via execution cases is a supplementary function (Potter 1991; Zhang 1991; Marshall 2003).

Rather than examining outcomes from the perspective of the ALL and the development of legal practices under it, this paper takes a different approach. It is an empirical case study of the involvement of Chinese courts in environmental regulations. Specifically, this paper seeks to explain: (i) why courts started acting as judicial enforcement deputies of environmental regulations; and (ii) how court involvement affected the behavior of regulated parties and regulations in terms of compliance with their legal obligation to pay pollution levies.

The analysis in this paper combines a multi-actor, decentered approach to regulation with a study of how this affects deterrence and compliance with the legal obligation to pay pollution levies. Increasingly, the regulatory literature agrees that successful regulation requires multi-actor involvement beyond traditional administrative regulators (Black 2003). This paper finds that the involvement of judges in regulatory enforcement can occur when certain incentives are in place and when regulatory-oriented judges manage the court; however, the incentives and the judges may change, and, as such, judicial involvement in regulation can be uncertain and short-lived, as in the cases studied herein. In terms of regulatory effects, this paper finds that although judicial involvement enhanced both the perceived certainty of punishment and, to a certain degree, the severity of sanctions, it did not end the practice of negotiating payments of levies and, thus, achieved only partial compliance with limited regulatory effects. A broader lesson here is that deterrence can enhance the number of firms complying (paying any pollution levies at all) without enhancing the depth of compliance (the extent to which firms paid the full amount).

The primary data in this paper are archival court records and interviews collected from Hubei Province from April 2005 to July 2006.[2] Two rural counties (counties B and C) were selected for in-depth interviews as they were regarded as the most effective courts in implementing the ALL. I also chose a district of Wuhan City (District A), the capital of Hubei Province, to provide an urban context for this analysis. In China, both counties and city districts enjoy the same administrative rank. Interviews with environmental officials, judges, and polluters were conducted. The selection of three counties in Hubei was not intended to be representative of all situations nationally; it was appropriate because there are limited empirical studies on the regulatory effects of decentered regulation in China. This exploratory study contributes empirically to the fields of decentered regulation and deterrence theory, albeit with clear limitations. First of all, it primarily studies compliance with the legal obligation to pay pollution levies and mentions briefly whether compliance reduced pollution or improved environmental quality. Second, it studies the subjective deterrence of relevant firms and local actors using available evidence from interviews.

The rest of the paper is organized as follows. Section 2 explains why courts became judicial enforcement deputies for environmental agencies. Section 3 discusses the deterrent effects of court involvement on the behavior of the regulated parties and the factors leading to partial compliance. Section 4 concludes the paper with implications.

2. Preconditions for regulatory involvement

A vital question related to courts as environmental regulators is why they took on regulatory roles in the first place. According to Black (2003), authority and legitimacy are well recognized as key sources contributing to the capacity of new actors to regulate. As the discussion in this section shows, Chinese courts have both the authority and legitimacy granted by the ALL to help enforce environmental decisions issued by local environmental agencies. As a result, the courts and environmental agencies formed a symbiotic exchange that was, according to Liu (2011), inherently two-sided, mutually contingent, and mutually rewarding. This incentive-based entry of the courts onto the environmental regulatory landscape is further demonstrated by the decline in court cases filed by environmental agencies when the incentives were partially removed.

2.1. Regulatory need

Environmental agencies in China are known as weak regulatory agencies with limited enforcement power (Jahiel 1994, 1997; Marshall 2003; Zhang 2004; Van Rooij 2006, 2012; Tilt 2007; Van Rooij *et al.* 2010). Although they can

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impose administrative penalties, they do not have the power to force compliance.[3] When authorized by related laws, the courts can apply a series of compulsory measures when handling cases, for example, sequestering, detaining, freezing, or selling off the property of a party and detaining that party for a maximum of 15 days.[4] In contrast, the most an environmental agency can do on its own is to order a violator to stop production until the pollution is under control or to issue a penalty decision. When the violator ignores the order, the environmental agency cannot take any further action to bring the violator into compliance. The Vice Director of an environmental agency I interviewed vividly describes this situation:

> Resistance to environmental enforcement at the local level was tremendous. Environmental agencies did not have coercive power and could issue only a penalty document. That an environmental penalty decision became a meaningless piece of paper was very common.[5]

With weak regulatory power, local environmental agencies encountered massive resistance to paying pollution levies and related penalties when China implemented the system in the late 1970s.[6] Resistance to paying pollution levies became more pronounced among small, tertiary industries when the Hubei provincial regulations issued in 1994 and 1995 expanded the scope of the levy system from enterprises and service units to ". . . all units and individual industrial commercial businesses" (Hubei Provincial People's Congress 1994; Hubei Provincial Government 1995). This included small and individual businesses in the tertiary sector. Individual business owners and small businesses did not understand why they needed to pay pollution levies if they did not generate any pollution or if their pollution was minimal.[7] The owners of many barbershops asked, "Don't you wash your hair at home? Have your families ever paid pollution levies?"[8] A more general question was how they could create pollution if they were not enterprises. Thus, levy collection by environmental agencies had little legitimacy in the eyes of the regulated parties.

While collecting levies remained a significant challenge, the funds collected had, nevertheless, become the major source of revenue for environmental agencies. Many local governments in less developed regions that had not been able to collect sufficient tax revenue to meet their obligations to provide public goods and services were unable to provide the funding environmental agencies needed to operate. As the agencies depended on local governments for funding, personnel, arrangements, and benefits, they focused their enforcement efforts on collecting levies in order to generate revenue for survival and growth (Jahiel 1994, 1997; Sinkule & Ortolano 1995; Ma & Ortolano 2000; Van Rooij 2003; Zhang 2010). Because they lacked the authority and coercive power to force compliance when polluters refused to pay levies and related penalties, some local environmental agencies, such as those analyzed in this study, turned to the courts for assistance.

2.2. Administrative judicial benefits

While the first incentive came from environmental agencies that needed court assistance in executing their penalty decisions, a second main incentive came from courts that needed execution cases to fulfill ALL-related caseload requirements. Soon after the ALL went into effect in 1990, all local courts were under pressure to increase the numbers of ALL cases in order to fulfill the expectations of superior units.[9] Their workloads affected the performance evaluations of local courts and of individual judges. A number of judges in this study indicated that the workload on "administrative cases" at that time was based on a combination of two types of lawsuits filed under the ALL: (i) administrative litigation cases filed by ordinary citizens and organizations against administrative agencies; and (ii) court execution cases filed by administrative agencies requesting court enforcement of their decisions.[10] An administrative division was established within a court to handle ALL-related cases.

Not surprisingly, many courts in the early 1990s had very few litigation cases, which made fulfilling the ALL caseload requirements difficult. This was certainly true in the three localities in this study (see Table 1). The concept of "citizens suing officials" was alien to ordinary Chinese people. The historical and traditional idea was that common people could not sue an official and win in court.[11] Very few people dared to challenge a government agency or official. This longstanding unwillingness of individuals in Chinese society to challenge official power has been mentioned by a number of Chinese senior judges and scholars (Huang 1991; Jiang 1998; Hung 2001; Peerenboom 2002; Marshall 2003; Heuser 2003). People believe that winning a lawsuit could require losing one's life (Huang 1991).[12]

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Table 1 Number of lawsuits filed by citizens against agencies in District A (1990–1993), County B (1990–1993), County C (1991–1993)[12]

Year	District A	County B	County C
1990	3	20	0
1991	14	18	16
1992	29	29	15
1993	31	3	3

Lack of an adequate ALL caseload appeared to threaten even the existence of the administrative divisions of some courts. The administrative division chief of a municipal court in Hubei Province recalled an instance in 1991 in which the division of a district court was almost entirely eliminated because it failed to increase the number of both litigation and execution cases.[13] Liu (2006), in reporting on the scarcity of litigation cases at a county court, observed that many activities other than case trials were created to legitimize the existence of the administrative division. This investigation found that judges in County B were engaged in extensive pre-trial investigations, such as interviewing all individuals involved in each litigation case in order to create work for themselves.[14]

While it was difficult, if not impossible, for courts to increase their ALL caseloads by getting ordinary citizens to file more litigation cases, many judges mentioned that aggressive outreach by courts to agencies to generate court execution cases could be easily orchestrated.[15] Such court–agency collaboration was efficiently accomplished using the widespread practice of establishing "circuit courts" within various government agencies throughout the nation. Each of the three local courts in this study installed a circuit court at the environmental agency. The following recollection of a senior judge at a municipal court in Hubei Province describes their purpose and operation:

> Circuit courts were established to promote administrative adjudication work. At that time, there were too few lawsuits. In order to expand administrative adjudication work, good local innovations emerged. In 1991, our court president led a team to learn from Pingdingshan City [about circuit courts]. After the president returned, responding to the demand of agencies, we chose to set up circuit courts in the environmental agency, the land bureau, the planning bureau, and the water bureau . . . I was assigned to work with the environmental agency.[16]

The above remarks demonstrate the scarcity of administrative litigation cases filed under the ALL in the early 1990s. Local courts regarded the establishment of administrative "circuit courts" as an innovative local practice that could increase the number of execution cases filed by administrative agencies. It appears that agencies also expressed a desire to use court authority to assist them in their work. The interviewee indicated that circuit courts were first established in the designated agencies because, like the environmental agencies, each of them had administrative enforcement responsibilities but limited power.

The *China Environmental News*, the most prominent national environmental newspaper, reported the emergence and spread of environmental circuit courts throughout the nation from 1991 to 1995. Approximately 40 news articles were written during that period on circuit courts established at local environmental agencies in 16 provinces.

2.3. Financial judicial benefits

The courts also had economic incentives to become judicial enforcement deputies for administrative agencies as court execution cases could bring in significant revenue. An environmental official and a polluter each used similar language to talk about the relationship between courts and environmental agencies.[17] As one said, "Courts and environmental agencies are a profitable community. Both make money by executing [court cases]."[18] For the courts, the funds that were collected from enforcing pollution levy decisions generated substantial income;[19] this became an important source of revenue because of the general lack of sufficient funding at the county level nationally. In principle, courts should be fully funded by local governments; in reality, many county courts in less-developed regions do not always receive sufficient funds to cover their expenditures.[20] The inadequate funding of local courts is a well-documented problem (Li 2004; He 2012).

As previously mentioned, county governments often lack sufficient tax revenue and, thus, are unable to provide enough funds for administrative agencies. To cover benefits and bonuses, the courts, which are treated as administrative agencies, have to rely on court fees for handling cases, such as court execution cases. The president of County

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B Court said, "The government still allocates our budgetary funds based on the fees we collect. In other words, local finance provides only one-third of our budget, and the remaining amount comes from court fees."[21] In order to generate more revenue, many courts linked divisions or judges' benefits and bonuses to the number of cases they accepted. Each division (or even each individual judge in some localities) was assigned a caseload quota; the degree to which it was filled was linked to the bonus.[22] According to a court official in County B, "Allocating caseload quotas to each adjudication division – civil, criminal and economic – has been very common in Hubei Province."[23]

Monetary gains from execution cases for the courts became more pronounced after the first ones were filed by environmental agencies. In all three localities in this study, courts received processing fees from polluters taken to court. In addition, with the environmental agencies' full agreement, courts were sometimes able to keep additional processing fees that the agencies paid in advance with the expectation that they would be repaid later.[24] The environmental agencies in counties B and C sometimes even let courts keep the levies they collected to provide additional incentives to support levy collection in the future.[25]

The critical role that economic gains from execution cases played in court involvement in administrative enforcement is well summarized by the then Vice President of the Hubei Provincial Court:

> At the beginning of the ALL, administrative divisions received few administrative litigation cases. They took the initiative to approach administrative agencies and work for agencies . . . Court enforcement of agency decisions could bring economic benefits to both courts and environmental agencies. Thus, the two parties came to a consensus that led to the initiation of court enforcement of agency decisions.[26]

It has been well documented that Chinese courts function within the requirements introduced by the central authority; as a result, the incentive mechanism has played a key role in shaping court work and behavior (Fu & Cullen 2011; Ng & He 2013). When the incentives were partially removed later, the number of court execution cases involving pollution levies declined substantially.

2.4. Decline of court involvement and the removal of incentives

Figure 1 demonstrates that the number of environmental execution cases declined significantly after reaching a peak in 1999 in District A and in 2002 in County C and stayed relatively flat thereafter.[27] Reduced court involvement was largely a result of the partial removal of the incentives that propelled courts to enter the environmental regulatory field in the first place. As interviewees in both District A and County C noted, the most obvious one was that court enforcement effectively increased the payment of pollution levies and, thus, reduced the need for court intervention.[28] Many polluters came to realize that they would have to pay levies eventually and would be better off if they negotiated acceptable amounts with environmental agencies before going to court. Also, during the course of court enforcement, environmental officials came to know many polluters well and cultivated *guanxi* (connections) with many business owners.[29] As long as polluters did not completely refuse to pay levies and were willing to negotiate, environmental agencies would avoid issuing formal penalty decisions that could ruin their relationships.[30] With

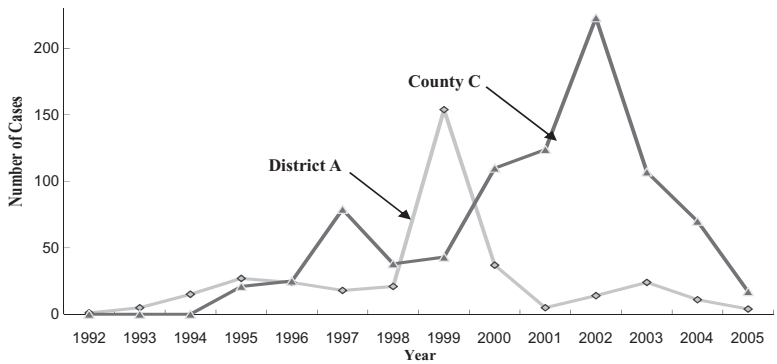

Figure 1 Number of court cases filed by environmental agencies in District A (1992–2005) and County C (1995–2005), Hubei Province.
Sources: Court case registration books, District A court and County C court, Hubei Province, 1992–2005.

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increased levy payment and cooperation, court enforcement became far less necessary in the eyes of environmental officials in District A and County C.[31] A senior judge in County C in charge of environmental execution cases described this decline:

> The number of execution cases filed by the environmental agency was initially low. It gradually increased and reached a peak. By the time the peak was reached, court enforcement had already had significant effects [on polluters]. Many people recognized the environmental agency's authority and began cooperating with it. The agency did not need us anymore. Therefore, the number of cases has fallen subsequently.[32]

Some environmental officials and court judges in District A believed that removing ALL-related caseload pressure also contributed to the decline in court execution cases since 2001 in that district.[33] In 2003, the municipal court supervising the District A Court stopped evaluating lower court performance based on the combined number of litigation and execution cases;[34] greater emphasis was placed on litigation cases. Another possible explanation for the reduced role of the courts was their more stringent review of execution cases, which made environmental agencies more reluctant to file them. This is reflected in District A Court's 2004 requirement for informal hearings involving regulated parties and agencies to identify (mostly) procedural errors that could not be determined by examining agency documents.[35] Some environmental personnel considered such informal hearings as "quasi-court investigations,"[36] and others complained that many cases were rejected for minor errors.[37]

The factors discussed above do not, however, explain why the declines took place earlier in District A than in County C. To understand this, we need to look at changes in court staff in the district.[38] Three key court staff – the president, the administrative division chief, and a senior judge – who were instrumental in initiating and executing environmental cases all left the court or administrative division in 2000.[39] The strong, personal court–agency relationship for active court enforcement of environmental penalty decisions no longer existed. The new court president and administrative division chief who both had strong legal training backgrounds appeared to be more responsive to the policy change that removed caseload pressure; they instead placed more emphasis on litigation cases and were inclined to strengthen reviews of execution cases.[40]As the new court leaders decided to adopt those changes after 2000, the court procedures for handling execution cases in District A became more stringent, complex, and lengthy in the eyes of environmental officials.

Analogous changes in court staff were not, however, found in County C before the number of execution cases declined notably in 2003. As this study investigated three localities and declines took place in only two of them, I cannot generalize that the deterrent effect of court enforcement in terms of the increased certainty of punishment was the most important factor in the declines. What I can argue is that the partial removal of the incentives that propelled the courts into the environmental regulatory field led to a decline in court enforcement of environmental regulation in later years.

All of this shows how fragile court involvement in environmental regulation can be. Involvement premised on regulatory needs and judicial benefits, as well as on particular judges, can change as those needs, benefits, and judges change, demonstrating the potential for inconsistency from actors whose core mission is not regulatory. Moreover, although the primary goal of environmental regulation is to control pollution and to maintain or improve local environmental quality, court involvement in environmental enforcement work did not appear to achieve that goal as it primarily targeted small, tertiary industries that discharged very small amounts of pollution. The environmental agencies were not willing to take large, non-compliant enterprises to court, nor could courts enforce their decisions even if the agencies did so (Zhang *et al.* 2010). Intervention from local government leaders eager to protect those large enterprises – the main sources of local revenue – from strict environmental regulation was the key reason for the lack of court action.

3. Regulatory effects

In theory, court involvement in executing administrative sanctions could enhance compliance by both enhancing the certainty as well as the legitimacy of punishments. Existing subjective deterrence literature has consistently found that certainty of punishment is more influential in achieving compliant behavior than the severity of punishment (e.g. Williams & Hawkins 1986; Nagin 2013). In this case, the courts may have helped to increase the certainty of

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punishment by increasing the likelihood that those sanctioned for breaking the law would actually find that those sanctions were executed. The data presented show that court involvement indeed enhanced the certainty and even the severity of sanctions to a certain extent; however, the regulatory effects were limited as close relationships and judicial discretion helped to maintain the practices of negotiating payments and of partial compliance with very limited effects on reducing actual pollution. Court involvement increased the number of firms paying pollution levies and related penalties, but, as explained in the second part of this section, it did not necessarily increase the amount of levies and penalties paid.

It is important to note that compliance here refers primarily to paying pollution levies and related penalties. I do not have sufficient information to assess whether firms complied with environmental standards as a result of court involvement, although local environmental quality did not notably improve when courts enforced environmental decisions. Moreover, the deterrent effect discussed here is largely based on interviews with judges, environmental agency staff, and polluters subjected to court actions; they demonstrate that particular specific and general deterrence existed and affected levy payments. Based on these interviews, I suggest relevant lessons, but whether they would also apply beyond the cases discussed is a matter for further study.

3.1. Certainty and severity of sanctions

As discussed previously, in China, courts, and not environmental agencies, have the legal authority to enforce environmental sanctions when a regulated party refuses to comply. The interviews revealed that when courts started to collaborate with environmental agencies to execute their decisions, deterrence appeared to increase. Several interviewees indicated that as soon as judges appeared in front of a polluter and announced a deadline for paying the levies and sometimes delivered a court summons in person, polluters realized that the courts were backing up the agencies and that pollution levies needed to be paid; many of them chose to approach the agencies and to negotiate a reduced levy.[41] In these cases, court execution enhanced the perceived deterrent effect on polluting firms and enhanced the certainty of punishment (Becker 1968; Nagin 2013). Court involvement did not improve detection or even the probability that a sanction would be issued, but rather enhanced the execution of sanctions already issued to firms in violation.

Court involvement also may have enhanced specific deterrence by increasing the severity of expected punishments and, in addition, could create extra costs as firms would also have to pay court fees (Nagin 2013). As a small restaurant owner in County C said, "I paid both pollution levies and court fees. The court can temporarily shut down your business if you do not pay. You know you need to pay once judges come. Many people felt the same way."[42] By negotiating a mutually agreeable levy, polluters could avoid paying court fees.

Several judges and environmental officials mentioned that polluters who were subjected to court action became more compliant in paying pollution levies in subsequent years;[43] this is supported by court statistics that recurrent actions involving the same polluter were rare and that most offenders were polluters who had not previously experienced court action. Court statistics indicated that 12 out of 360 cases (3 percent) in District A, five out of 102 cases (5 percent) in County B, and 35 out of 856 cases (4 percent) in County C were recurrent. Moreover, most non-compliant cases were new owners of the same business (e.g. new president of a county agricultural bank) who refused to pay,[44] and construction companies with multiple sites.[45] A judge mentioned that occasionally a polluter might refuse to pay again because the environmental agency had raised the levy when the agency–polluter relationship had temporarily broken down.[46]

The interviewees also related cases in which court actions seem to have had a general deterrent effect on the regulated community as a whole, particularly on parties that were initially not willing to pay levies and penalties, but had not been taken to court (Thornton *et al.* 2005; Nagin 2013). The courts could invoke strong measures, such as placing polluters in custody for as many as 15 days and confiscating their private property, although they took such actions only when polluters refused to cooperate and acted poorly toward the judges. For example, in 1996, the County C court confiscated a jeep from a township food management station that refused to pay a pollution levy of 1,000 RMB.[47] The station had to pay a total of 8,000 RMB, including a fine and court fees, in order to get the jeep back. As an environmental official, whose aunt-in-law was the vice director of the county food management bureau, recalled, the bureau briefed all of its subsidiaries about the incident, and since then the subsidiaries no longer openly resisted pollution levies.[48] Instead, they negotiated a lower levy emphasizing their difficulty in paying the full amount and, thus, avoided paying court fees.[49]

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Another illustration of the general effects of court coercive measures on the regulated community took place in County B in 2005. Several court policemen in a patrol vehicle were sent to detain the owner of a small restaurant who refused to pay a levy and even threw away the court summons in front of the judges who delivered it to the restaurant.[50] The owner had to write self-criticism while handcuffed in front of the public. The environmental agency invited a local TV station to report on the incident and to broadcast that report frequently afterwards.[51] More than 100 people dining in the restaurant or in nearby restaurants witnessed the proceedings. The vice director of the environmental agency recalled that he heard a woman talking about this incident in a farm market and telling her friends, "Do not throw away environmental documents. Otherwise the court can detain you."[52]

The general deterrent effects in these cases are nicely summarized by environmental and court interviewees using a well-known Chinese idiom, which is literally translated as "Kill one to scare a hundred."[53] In County C, four out of seven polluters clearly recalled that many small businesses were taken to court when they refused to pay levies.[54] They had also heard of incidents of detaining a person or of confiscating property. In County B, two polluters talked about the small restaurant owner who was detained by the court in 2005.[55] According to one interviewee, the environmental agency threatened that, "Whoever refuses to pay pollution levies from now on will be detained by the court [like the restaurant owner]."[56]

An important factor strengthening the general deterrent effect in these cases was the nature of the regulatory field and of the localities as it helped to disseminate information about sanctions. All three were small societies, and the comfortable relationship between the courts and the regulated parties in them meant that court execution cases and coercive measures were widely known among the regulated parties which encouraged otherwise non-cooperative polluters to work with environmental agencies. As shown in section 3.2, however, those same close relationships also appeared to undermine the deterrent effect as pollution levies and penalties were never paid in full as required by environmental regulations.

3.2. Partial compliance: The influence of close relationships and judicial discretion

A second key finding of this study is that although court involvement helped to enhance subjective deterrence in particular cases, its effects on compliance in terms of paying pollution levies and penalties and on reducing pollution remained disappointing. The analysis illustrates that the close relationships between the regulated and the regulators in the small localities combined with broad judicial discretion enabled widespread negotiations that resulted in the partial payment of levies and penalties and, thus, in partial compliance. This shows that in the cases studied, enhanced deterrence may increase the number of firms that comply, but may not necessarily improve the level of payment in each case. The close relationship between judges and local factory owners greatly influenced what the factories ultimately had to pay. While close relationships and small community size improved the dissemination of court actions and penalties, they also undermined regulatory effects.

In these small localities, traditional *guanxi* (social relations) and *renqing* (human feelings) heavily penetrate almost every aspect of society and the lives of local people. At the heart of *guanxi* and *renqing* is the notion of reciprocal obligation and indebtedness. Nearly every judge and environmental official I interviewed mentioned the extensive networks of local *guanxi* and *renqing* in their localities and the pressure they put on their work.[57] An environmental official in District A said:

> Requesting a favor and looking for *guanxi* are extremely common. This is a Chinese characteristic. Once something happens, the first thing a person does is to look for *guanxi* and *renqing*. The course of court enforcement is full of *renqing*.[58]

Most judges and environmental officials were born and grew up in the localities in which they work. During the course of schooling, marriage, work, and other social activities, they established and maintained their *guanxi* and possessed (or owed) enormous amounts of *renqing*. A County C court judge who had been in charge of execution cases filed by the environmental agency for over a decade provided a specific example that portrays the *guanxi* and *renqing* pressure a judge is subjected to at work:

> In my heart, I did not want or dare to take court execution cases. County C is such a small place. My work involved several hundreds of businesses each year. I feel I have offended almost everyone. Once when I went to

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> XX hotpot restaurant, the owner stared at me for quite a while and looked very guarded. I had to explain that I did not come for work today. I just came to have dinner. I felt very awkward.[59]

The profound influence of *guanxi* and *renqing* is well documented. For example, Li (2011) explains that *guanxi* embodies certain rules and codes of conduct that purport to remove the legal, moral, and cognitive barriers impeding the contracting process of corrupt exchanges. In the cases studied here, the enormous pressures of *guanxi* and *renqing* forced judges to compromise when doing their work. As the vice director of the environmental agency in County C indicated:

> Judges are local people and have a lot of local *guanxi* and *renqing*, and thus they cannot fully enforce [the high fees] either. When judges could not process a case because of *guanxi* and *renqing*, they came to negotiate with us in private while persuading the polluter to pay some of the levy.[60]

During this process, judges often acted as mediators who either suggested that polluters directly negotiate a deal with the environmental agencies or negotiated reduced levies with the agencies on behalf of polluters.[61] One judge in County C provided a detailed account of the tremendous pressure of *guanxi* and *renqing* and how he dealt with it:

> I have spent at least 50 percent of my energy on handling enormous amounts of *renqing* involved in my work. People asked us for a favor. We then consulted with the environmental agency. For example, you may know my brother and come to ask me for a favor. I can call to tell the environmental agency that you are my relative or friend and ask for a reduction. Generally, the agency listens to me. Meanwhile, I cannot violate the principles to exempt you from any levy because such an exemption is illegal. I will show you legal provisions and make you understand that you are legally obligated to pay a pollution levy. I know the environmental agency usually collects 200 RMB in a situation like yours; the agency might have asked you to pay 600 RMB. You may negotiate with the agency directly to get your levy reduced to 200 RMB, or I can step forward to help you negotiate with the agency. In addition, court fees include a fixed fee per case and actual court expenses. I can waive your actual court expenses. In this way, I will not offend everyone while doing my work.[62]

This judge needed to maintain his *guanxi* or repay his *renqing*, so he managed to give a discount on the levies and/or penalties. As environmental officials in all three study areas indicated, judges know how much of the levies agencies expected to collect (or had actually collected in the past), that is, the bottom line in the interviewees' own words. Thereby, judges often did favors for polluters at little cost to themselves by simply mediating a mutually acceptable bottom line.[63] Indeed, court mediation in getting levies and related penalties reduced and/or waived was a common practice although the ALL does not explicitly permit court mediation in handling ALL cases, including execution cases.[64]

Consequently, as nearly every judge and environmental official interviewed claimed, pollution levies were rarely collected in full.[65] A small portion of the available court records on execution cases filed by environmental agencies showed that of the 77 cases filed in District A from 1995 to 2000, there were only eight cases (about 10 percent) in which 100 percent of the levies and penalties requested by the agency were actually collected. In the remaining 69, the average amount collected was 23.5 percent, and in approximately two thirds, less than 20 percent was collected. In County B, the situation was more astonishing. None of the seven cases in 2003 paid 100 percent of the levies and fines issued: the highest was 20 percent, the lowest was five percent, and the average was 10.5 percent.

It is important to note that individual judges derived significant discretionary power from internal court procedures, and that enabled them to mediate. For example, before 2001, District A court's administrative division alone accepted, examined, and executed all court execution cases.[66] One or two judges were in charge of reviewing cases, while another one or two were in charge of execution. Upon receiving applications from agencies, judges examined the documents and notified the agencies within seven days whether or not the applications were approved. If substantial errors were found, they returned the applications to the agencies to fix the problems and reapply for court execution. Approved cases were then given to the judges in charge of execution who notified the parties involved and demanded voluntary compliance within 15 days or compulsory enforcement would be applied. If any errors were found during execution, the judges could ask the agencies either to make corrections and reapply or to drop the case.[67]

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All of this demonstrates that the close relationship between the regulators and the regulated combined with broader discretion could enhance deterrence, but not necessarily lead to better compliance in terms of levy and penalty payments. This affects the outcome of regulation as the levies paid in the study area remained too low to induce reductions in pollution. Getting caught and punished does not necessarily have much effect if compliance can be negotiated. Perhaps in conditions such as those in China, deterrence should be viewed in the context of how regulators and the regulated come to define what constitutes compliance, which, in this case, meant a negotiated payment of levies, rather than a full payment. Therefore, when studying a clearly exogenous element of compliance, namely the effects of punishment on rule abiding behavior, we may have to draw from endogenous approaches to compliance that analyze how regulatory interaction shapes the meaning of what is seen as compliance (Parker & Nielsen 2009).

4. Conclusions and implications

This analysis of the entry of new actors onto the regulatory environmental landscape generates mixed findings. It requires a particular historical combination of incentives for the administrative agency and for the judiciary to create a mutually beneficial collaboration. Environmental agencies lack the authority to enforce their sanctions when polluters refuse to pay while the courts have the legal authority to execute cases filed by regulatory agencies to fulfill their caseload targets under the ALL. Moreover, enforcing environmental sanctions brought notable revenue to the courts. It was the combination of these three factors that propelled courts to enter the environmental regulatory field and to become judicial enforcement deputies for environmental agencies soon after the ALL came into effect in the 1990s. It is not surprising then that the role of the courts in environmental regulations diminished when the incentives changed in the 2000s.

Court enforcement of administrative sanctions had a double-edged effect on environmental regulation. While the close relationship between the regulated (polluters) and the regulators (environmental agencies and courts) in the form of traditional g*uanxi/renqing* enhanced specific and general deterrence in particular cases, as demonstrated in the interviews, it led to only partial compliance as pollution levies continued to be negotiated and were rarely collected in full. Primarily targeting court enforcement on small polluters generating little pollution did not lead to notable pollution reduction or to improved local environmental quality, the principle objectives of environmental regulation. Broad discretion and close relationships led to negotiations about what constituted compliance, which appeared to be the partial payment of pollution levies and penalties, rather than full payment. As a result, in the cases studied, the eventual effects of enhanced deterrence were watered down as lower levels of payment were accepted.

The courts' involvement in executing administrative sanction decisions did not come without cost as their regulatory functions appeared to start to undermine their intended judicial function of adjudicating citizen–state disputes. In the two courts studied, their execution of administrative sanctions dwarfed their regular administrative adjudication work, especially when they were most active as enforcement deputies. In the three localities where this field research took place, an even greater discrepancy occurred: Nearly 99 percent of the ALL cases involving environmental agencies from 1992 to 2005 were court execution cases filed by agencies against polluters, while only one percent were litigation cases filed by citizens and polluters against agencies.[68] Although departures from the overall pattern exist, it is reasonable to conclude that courts had become primarily judicial enforcement deputies for environmental regulations, not for protecting citizens' rights.

The findings of this paper have several implications for studying the regulatory landscape and for the role of deterrence on compliance behavior (here defined as the payment of pollution levies and penalties). First, we need more empirical work exploring the conditions under which new actors might be enrolled in regulation. Black (2003) has identified six key resources as critical to the performance of regulatory functions: information, expertise, financial and economic resources, authority and legitimacy, strategic position, and organizational capacity. This study of courts acting as environmental enforcement deputies demonstrates that authority and legitimacy are key resources contributing to the capacity of both the state regulators (environmental agencies) and non-state actors (courts) to regulate; moreover, both faced notable incentives to enroll new authorities into the regulatory field and to form an interdependent relationship. This incentive-based enrollment enhanced their regulatory capacity. As Black (2003) indicates, the potential for interdependency to increase overall capacity is overlooked and needs further empirical investigation.

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Second, this study generates new insights into the study of deterrence theory. Subjective deterrence theory predicts that it is the perceived likelihood of detection that changes the behavior of the regulated (Becker 1968; Thornton *et al*. 2005; Parker & Nielsen 2009). Within the limited confines of the cases studied here, we can carefully hypothesize that deterrence might also require that any sanctions issued are actually executed. This is not new to deterrence theory as it is assumed in the idea of certainty and severity of punishment that the punishment is actually meted out. Most studies, however, do not focus on the actual execution of punishment. A notable exception is Ross and Pritikin (2010) who have highlighted that, even in the United States, there are many instances where fines and penalties for corporate and white-collar crimes remain underpaid or even uncollected. In China, where the actual execution of judicial and administrative decisions has long been known to be an ongoing problem,[69] regulatory scholarship must look beyond the chance of being caught and the severity of punishment to the certainty that punishment is actually meted out.

Third, the cases reported in this study may illustrate that in a context where there is a close relationship and where there is legal or factual discretion, enhanced deterrence can result in negotiated, rather than full compliance. The data discussed here are limited, and it is hoped that the findings derived from them can serve as hypotheses for further study into the interaction among relationship, discretion, and negotiated compliance.

Finally, very few studies on decentered regulations have examined the effects of enlisting new actors onto the regulatory landscape on the new actors themselves. This study finds that when new regulators, such as courts, act as judicial enforcement deputies, their new regulatory functions could undermine their original functions: Instead of being impartial adjudicators, to a large degree, courts became tools for enhancing administrative interests and power. Future research on enlisting new regulators could focus on how undertaking new tasks affects their primary work and roles.

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Notes

1 Many related studies contrast courts and regulators and argue that regulation in the form of government control of public risks is both necessary and useful (Huber 1985; Glaeser and Shleifer 2001). Huber (1985) further claims that courts are institutionally predisposed to favor regressive public risk choices. A few studies, such as De Geest and Dari-Mattiacci (2007), suggest that courts and regulations can be combined to achieve socially optional liability.

2 I chose Hubei Province as the research site mainly because it has a long history of environmental litigation and a relatively large number of ALL-related cases, and it is not an atypical region of China. More importantly, I secured critical access to court records, judges, and local environmental agencies in the province. As the data were collected from April 2005 to July 2006, the analysis in this paper mostly represents the situation from late 1980s after the ALL went into effect to the mid 2000s. Moreover, this field research took place in one province, which might represent the situation in the middle and western regions of China; the conditions in more developed regions, for example, Guangdong and Jiangsu provinces, will need to be examined separately.

3 Interviews: AE0605311, AE0605261, BJ0511231, CE0510171. All interviewees are labeled by reference letters and numbers without disclosing their identities. The first letter refers to the case study location (labeled as A, B, C). The absence of A, B, and C show that an interviewee is not from any of the areas. The second and third letters indicate the position of the interviewee, for example, E represents an environmental agency official, J represents a judge, and PS represents a polluting source. The first six digits of the number indicate the date of the interview (year-month-date) and the last digit distinguishes multiple interviews on one day.

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4 The ALL does not specify types of compulsory court measures that may apply to handling the execution cases filed by regulatory agencies. The compulsory measures listed here are granted under the Civil Litigation Law (1991).
5 Interview: AE0605261.
6 Interviews: AE0605261, BE0507051, BE0511281, BE0511183, CE0511051, CE0511031, CE0511073.
7 Interviews: AJ0606071, AE0606121, AE0605261, BJ0511241, CE0511023, CE0511051, CJ0511092, CE0511042.
8 Interview: AJ0606071.
9 That county courts were under pressure to increase ALL-related caseload was widely reported by many studies, such as Jiang (1998), Wu (1999), SPCAD (2000), and Li (2004).
10 Interviews: J0606133, J0606151, J0606051, AJ0606071, AJ0605221, AJ0606133, BJ0511231, CJ0510211
11 Interviews: BJ0607141, J0511012.
12 The first administrative litigation case was filed in 1991 in County C, while in both District A and County B the first was filed in 1990. Sources: Administrative Litigation Registration Books in District A court, County B court, County C court, various years.
13 Interview: J0606051. The judge I interviewed personally rushed to the district court to urge keeping the administrative division.
14 Interviews: BJ0511231, BJ0511241. The administrative judges stopped conducting extensive pre-trial investigations in the mid-1990s when the administrative division was well received within County B court.
15 Interviews: AJ0606071, AJ0605221, AJ0606133, J0606051, CE0605291, J0606151.
16 Interview: J0511012.
17 Interviews: BE0511252, CPS0511066.
18 Interview: CPS0511066.
19 Interviews: J0606151, AJ0606071, AJ0605221, AJ0606133, J0606051, J0606151, J0605101, BE0511252, CE0511051, CPS0511066.
20 Interviews: BJ0511231, BJ0511251.
21 Interview: BJ0511251.
22 Interviews: J0606151, J0605101, AJ0606071, BJ0511231, BJ0511171.
23 Interview: BJ0511231.
24 Interviews: AE0605291, AE0606051, AJ0606071, BE0511252, CE0511031, CE0511051, CE0511023.
25 Interviews: BE0511252, CE0511031, CE0511051.
26 Interview: J0606151.
27 In District A, the former director of the environmental agency (AE0605261) attributed the peak of court cases in 1999 to a citywide campaign initiated by the agency to control smoke and noise. The director recalled that the municipal agency received a record number of public complaints about oily smoke and noise from small tertiary industries, such as barbershops. When most of those restaurants and barbershops refused to pay the levies or to install the required smoke and noise reduction facilities, the agency issued a large number of penalties and had to rely on the court to collect them. Interviews: AE0605291, AE0606121, AJ0606071, AJ0605221, AJ0605231.

According to the judge (CJ0511092) who had been in charge of environmental court cases in County C, the peak in 2002 was the result of a court requirement that year. The judge recalled that the county court asked the judges to strengthen the implementation of all execution cases filed under the ALL. The court prohibited the environmental agency from withdrawing the cases without a court record, even if the agency and polluters had worked out a settlement. Most such cases were, thus, recorded as "voluntary compliance."

The number of court execution cases in County B did not show a clear peak or sharp decline up to 2006 as the environmental agency began the large-scale collection of pollution levies from small tertiary industries in 2005, the main target of court enforcement cases.
28 Interviews: CJ0511092, AE0605291.
29 Interview: AE0605291.
30 Interview: AE0605291.
31 Interviews: CJ0511092, CJ0510262, AE0605291.
32 Interview: CJ0511092.
33 Interviews: AE0605291, AE0606051, AJ0606071, AE0605311. However, a similar court policy regarding caseloads was not found in County C. The caseload requirement was still in place in many parts of Hubei Province in 2005–2006 (BJ0511231).
34 Interviews: AJ0606133, AE0605291, J0606051.
35 Interviews: AJ0605231, AJ0606132, AE0605301.
36 Interviews: AE0605301, AE0605311.
37 Interviews: AE0605291, AE0605301.

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38 Interviews: AE0605261, AE0606131, AE0605291, AJ0606071, AJ0605221.
39 Interview: AE0605291.
40 Interviews: AE0605291, AJ0605221.
41 Interviews: AJ0605221, CJ0511092, CJ0511021, CE0511023.
42 Interview: CPS0511062
43 Interviews: CJ0511021, CJ0511091, AE0511073, AJ0605221, AE0605291, BE0511252, BE0511181.
44 Interviews: CJ0511092, AJ0605221, AE0605291, AE0605311.
45 Interviews: CJ0511092, CJ0511101, AE0605311.
46 Interview: CJ0511092.
47 Interviews: CE0511031, CE0506302.
48 Interview: CE0511041.
49 Interview: CE0511041.
50 Interviews: BE0511181, BE0511182.
51 Interviews: BE0511181, BE0511182.
52 Interview: BE0511182.
53 Interviews: AE0606121, CE0510181, AJ0606071, AE0605311, BJ0507041, BE0511181, BE0511182.
54 Interviews: CPS0511062, CPS0511063, CPS0511065, CPS0511066.
55 Interviews: BPS0607162, BPS0607163.
56 Interview: BPS0607162.
57 Interviews: AE0605311, AE 0605291, AJ0606071, BE0511243, BE0511182, BE0507051, BE0511281, CE0511031, CE0506302, CE0511073, CJ0510262, CJ0611092.
58 Interview: AE0605311. The interviewee is the Director of the Environmental Supervision Station in District A.
59 Interview: CJ0511092.
60 Interview: CE0510272. An environmental official (CE0511023) in the same area made a similar comment.
61 Interviews: AJ0605231, AE0605291, AE0605261, BJ0507041, BE0511243, CE0511092, CJ0511091, CE0511023, CJ0510211, CE0511073, CE0511072, CE0511042, CPS0511063
62 Interview: CJ0511092.
63 Interviews: AE0605291, BE0511243, CJ0511092.
64 Interview: J0605101.
65 Interviews: AJ0606071, AJ0605221, AJ0605231, AE0605291, AE0606121, AE0605311, AE0605261, BJ0607142, BJ0511241, BE0511181, BE0511182, BE0511252; CJ0511092, CJ0510241, CJ0511091, CJ0510211, CE0506301, CE0506302, CE0511023, CE0510272, CE0510181.
66 Interviews AJ0606071, AE0605291, AJ0606133.
67 Interviews: AJ0605231, AJ0606133, AE0605291.
68 Based on court case registration books, District A and counties B, C, G and Y, Hubei Province, for 1992–2005.
69 See "Enforcement of Civil Judgments: Harder than Reaching the Sky" for discussion. See also Clarke (1996).

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